

DAILY NEED TO KNOW

Wednesday, 5 August 2026 · Pre-market brief for Anne Wong

Covering the **Tuesday 4 August 2026 US session as settled** and the Globex overnight into Wednesday. All times GMT+8 (HKT). Tokyo and Seoul are open and are included live; Hong Kong, Shanghai and India have not opened. Live prices in this brief were captured 08:45–09:10 GMT+8 Wednesday.

Edition: FULL — Hedgeye logged-in edition. Tuesday's Early Look "#Quad3 Shift & Squeeze!" is the live risk-range set until the Wednesday Early Look publishes ~19:25–19:55 GMT+8. Five ETF Pro book changes landed at 22:29 GMT+8 Tuesday and are carried in section 4.

1 Market snapshot — Tuesday's close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
S&P 500	7,736.52	▲ +136.02 / +1.79%	Tuesday cash close. RECORD CLOSE, and a record intraday high of 7,758.21 . Ranged 7,629.10–7,758.21 — finished 92.5pts through Hedgeye's 7,644 ceiling
Nasdaq Composite	26,584.99	▲ +671.09 / +2.59%	Ranged 26,088.04–26,679.91. Best of the majors for a second session. Still –2.2% from the 27,190.21 June record
Dow Jones	54,085.88	▲ +907.47 / +1.71%	SECOND STRAIGHT RECORD CLOSE — and the first close above 54,000 in the index's history
Russell 2000	3,036.98	▲ +55.07 / +1.85%	Ranged 2,990.15–3,043.11. Finished 9.6pts short of its own 3,046.59 record — the one major that did not make a new high. 32pts through the 3,005 ceiling
S&P futures (ES)	7,782.75	▲ +17.25 / +0.22%	LIVE 08:55. Settled 7,765.50, +1.80%. 23,296 lots — roughly five times last night's overnight volume
Nasdaq-100 fut (NQ)	29,839.75	▼ –23.75 / –0.08%	LIVE 08:55. Settled 29,863.50, +3.36%. The only major equity future lower overnight, and it follows the biggest day
Dow futures (YM)	54,386	▲ +118 / +0.22%	LIVE. Settled 54,268, +1.75%. 1,523 lots. Grinding to another new high in a vacuum
Russell futures (RTY)	3,053.70	▲ +9.00 / +0.30%	LIVE. Settled 3,044.70, +1.85%. Now above the cash record and well through the Risk Range ceiling
US 10Y yield	4.627%	▼ –5.9 bp	Tuesday cash close. A second consecutive 5.9bp fall. Ranged 4.619–4.668% — the whole session inside Hedgeye's 4.60–4.75% band
US 30Y yield	5.19%	▼ –4 bp	Back under 5.20% for the first time since the yield breakout. 9bp off Friday's 5.28% 19-year high
US 5Y yield	4.333%	▼ –6.7 bp	Led the rally for a second straight session. The belly is trading the barrel, not the payroll
US 13-week bill	3.730%	▲ +3.0 bp	The only yield on the curve that rose. The front end is anchored to a Fed with three hawkish dissents
WTI crude (Sep)	\$75.40	▼ –0.37 / –0.49%	LIVE. Settled \$75.77, –5.69% — a second consecutive break of roughly 5%. Traded \$74.30 overnight. Below Hedgeye's \$77.28 floor
Brent crude (Oct)	\$79.12	▼ –0.24 / –0.30%	LIVE. Settled \$79.36, –5.26%. Through \$80 on the settle; overnight low \$78.15
Nat gas (Sep)	\$2.692	▲ +0.010 / +0.37%	LIVE. Settled \$2.682, –3.56% — gas finally joined the energy break after refusing to on Sunday and Monday
RBOB gasoline (Sep)	\$2.8503	▼ –0.0019 / –0.07%	LIVE. Settled \$2.8522, –3.86%. UGA fell 4.00% — two sessions after Hedgeye sold it
Gold (Dec)	\$4,138.30	▼ –14.30 / –0.34%	LIVE. Settled \$4,152.60, +1.52% — its best session in weeks. Keith: "day five of a higher low"
Silver (Sep)	\$59.895	▼ –0.350 / –0.58%	LIVE. Settled \$60.245, +4.12%. Best of the metals for a third session, and through the top of its band

ASSET	LAST	CHANGE	NOTE
Copper (Sep)	\$6.6330	▼ -0.0105 / -0.16%	LIVE. Settled \$6.6435, +1.57%. Also through its band ceiling. Still the only bullish-TREND metal
US Dollar (DXY)	99.849	◆ -0.01%	LIVE. Tuesday close 99.858. Ranged 99.829–99.887 overnight — a two-basis-point night. Hedgeye sold the last of its dollar exposure
USD/JPY	157.573	▼ -0.13%	LIVE. A fourth session pinned. Ranged 157.443–157.809. The joint intervention level is simply holding
USD/KRW	1,425.08	▼ won stronger	LIVE. Tuesday close 1,429.34; overnight range 1,422.08–1,431.28. The won is firming into a 4.4% Kospi open
VIX	16.50	▲ +0.64 / +4.04%	Tuesday close. The VIX rose on a record close. Ranged 15.51–16.65. Signal still BEARISH; band 15.13–20.67
Bitcoin (live)	\$63,971	▼ -0.13%	09:05 GMT+8. ETH \$1,860.53 (-0.42%), SOL \$73.38 (-0.46%), XRP \$1.0685 (-0.44%), BNB \$596.56 (+0.64%)

Colour key: ▲ up ▼ down ◆ neutral/mixed. Green and red denote whether the move is risk-positive, not its direction — a falling yield and a falling VIX are both green; a rising VIX is red. Rows marked LIVE were captured from Globex, spot FX and crypto at 08:45–09:10 GMT+8 Wednesday 5 August; everything else is a Tuesday 4 August settle or cash close. Every live futures row reconciles exactly off Tuesday's settle — ES 7,765.50+17.25=7,782.75, NQ 29,863.50–23.75=29,839.75, YM 54,268+118=54,386, RTY 3,044.70+9.00=3,053.70, WTI 75.77–0.37=75.40, Brent 79.36–0.24=79.12, gold 4,152.60–14.30=4,138.30, silver 60.245–0.350=59.895, copper 6.6435–0.0105=6.6330, nat gas 2.682+0.010=2.692, RBOB 2.8522–0.0019=2.8503. Tuesday's settles reconcile back to Monday's as published in yesterday's edition: ES 7,628.25→7,765.50 (+1.80%), NQ 28,891.75→29,863.50 (+3.36%), YM 53,334→54,268 (+1.75%), RTY 2,989.30→3,044.70 (+1.85%), WTI 80.34→75.77 (-5.69%), Brent 83.77→79.36 (-5.26%). Cash index arithmetic ties: 7,600.50+136.02=7,736.52; 25,913.90+671.09=26,584.99; 53,178.41+907.47=54,085.88; 2,981.91+55.07=3,036.98. Overnight equity volume is materially heavier than the previous night — 23,296 ES lots against 4,780 — but is still thin. Cash Treasury yield indices do not update outside US hours.

TL;DR

The de-escalation trade stopped being a headline and became a price. Scott Bessent said a Hormuz deal could be done “today or tomorrow”, Qatar said an interim proposal has been drafted, and Rubio said progress had been made. WTI settled **\$75.77, -5.69%**, after trading \$74.30 overnight — a second consecutive break of roughly five percent and **\$8.90 off Friday's \$84.67 settle in three sessions**. Brent settled \$79.36.

And the equity market did not treat that as an energy story. The S&P closed at **7,736.52, a record, +1.79%**, having printed a record intraday high of 7,758.21. The Dow closed above 54,000 for the first time, +907 points, its second straight record. The Nasdaq added 2.59%. The Russell added 1.85% and finished 9.6 points short of its own record. Every one of the four closed above the top of its Hedgeye Risk Range.

What actually led was semiconductors, which is the opposite of Monday. SMH +5.55% against software's IGV +4.70%; XLK +4.98% was the best sector by more than three points. Intel +10.83%, Marvell +12.80%, Coherent +12.35%, SanDisk +10.84%, Super Micro +10.65%, Lam +7.85%, AMD +7.00%, Micron +7.62%. Palantir closed **+29.45% at \$162.66**. The Mag7, by contrast, did almost nothing — Nvidia +2.56% was the best of them, Amazon fell 2.32% and gave back its \$3 trillion handle the day after it earned it.

Then it stopped, and the two names everyone was waiting for went the wrong way. AMD beat and raised — revenue \$11.54bn, +50% y/y, data centre \$6.7bn, +107%, EPS \$1.66 against \$1.55, Q3 guided to ~\$13bn — and traded down roughly 8.8% after hours to \$472.85. SpaceX's first-ever quarterly report beat on revenue and disclosed **\$18.4bn of quarterly capital expenditure**, and the stock gave back its 9.43% gain, trading \$115.97 after hours. Both prints were good. Both stocks were sold.

The data disagreed with Monday. JOLTS job openings fell 178,000 to 7.359 million against a 7.40 million consensus — the soft labour print that Monday's ISM at 55.6 said should not exist. Yields fell for a second day: 5Y -6.7bp, 10Y -5.9bp, 30Y -4bp, with only the 13-week bill higher. Friday's payrolls now arbitrates a genuine three-way argument between a hot ISM, a cooling JOLTS and a Fed with three members voting to hike.

Hedgeye covered its two AI shorts and added a bond short. IVES and AIQ were both removed from the short side, South Africa was covered, broad commodities (CERY) was sold from the long side, and **LQD was added as a new short**. Keith is now 25 long / 14 short, sold the last of his dollars, is watching gold for a dip, and — on a day semis beat software and Korea's ETF rose 6.80% — reiterated that he is net long software rather than semis, is moving DRAM from long to short, and intends to short more South Korea.

The one thing to hold on to: the VIX went **up 4.04%** on a record close, and every major index finished above its own Risk Range ceiling. That combination — records made on rising implied volatility, into overbought signals, three days before payrolls and with a 911.5 million share SpaceX unlock tomorrow — is a place to reduce, not to add. Hedgeye's own rulebook says so explicitly.

2

The big picture — what it means

1. **The oil break is now three sessions old, worth \$8.90, and it is holding.** WTI has gone \$84.67 → \$80.34 → \$75.77 in three settles, a 10.5% decline, and it has given back none of it overnight. What changed on Tuesday was the source of the claim: Sunday it was a Truth Social post, Monday it was a presidential characterisation Iran denied, and Tuesday it was the Treasury Secretary on the record saying a deal could be signed “today or tomorrow”, Qatar confirming a drafted interim proposal, and the Secretary of State confirming progress. That is three

separate governments now describing the same process. It is still not a signed instrument, and Tehran has still not confirmed direct talks — but the evidential base under the trade is materially broader than it was 48 hours ago, and the price has responded accordingly.

2. **The leadership rotated inside technology in a single session, and it rotated the wrong way for the consensus.** On Monday software beat semiconductors by 209 basis points and Keith built the Quad 3 case explicitly on that split. On Tuesday semiconductors beat software by 85 basis points, and the magnitude was violent: Intel +10.83%, Marvell +12.80%, Coherent +12.35%, SanDisk +10.84%, Super Micro +10.65%, ASML +4.22%, Applied Materials +5.48%, KLA +6.95%, Micron +7.62%. There was no single catalyst — a wave of AI-memory price-target hikes and Intel's late-July data-centre number are the best available explanations. Treat it as the same short-covering machine that lifted CoreWeave 19% on Monday pointing at a different part of the complex, not as a change in the semiconductor cycle. But note that the Quad 3 sector prescription was on the losing side of it for a day.
3. **JOLTS is the number that matters and almost nobody traded it either.** Openings fell 178,000 to 7.359 million against a 7.40 million consensus, with declines concentrated in healthcare (-147,000), leisure and hospitality (-86,000), wholesale trade (-74,000) and business services (-71,000). Monday's ISM manufacturing printed 55.6 with an employment sub-index expanding for the first time in thirty-three months. These two are not compatible descriptions of the same labour market. One is a survey of purchasing managers' intentions and one is a count of posted vacancies, and they are pointing in opposite directions in the same week that the Federal Reserve has three members voting to raise rates. Friday at 20:30 GMT+8 settles it.
4. **Every index closed above its Risk Range ceiling, and the VIX rose anyway.** SPX 7,736.52 against a 7,644 ceiling. COMPQ 26,584.99 against 26,140. RUT 3,036.98 against 3,005. XLK 186.90 against 183. HYG 79.55 against 79.41. LQD 106.76 against 106.70 — and Hedgeye responded to that last one by adding LQD as a short. Six simultaneous immediate-term overbought signals is not a common configuration, and the volatility market did not confirm the move: implied vol rose 4.04% on a record close. Rising implied volatility into a record high usually means somebody is paying up for protection rather than chasing, and the calendar gives them three reasons to — SpaceX's 911.5 million share unlock tomorrow, ISM Services tonight, and payrolls on Friday.
5. **Two good prints were sold after the close, and that is the most useful information of the last 24 hours.** AMD beat on revenue and EPS, more than doubled data-centre revenue, and guided Q3 to roughly \$13bn — about 41% growth — and lost 8.8% after hours. SpaceX beat on revenue in its first report as a public company and lost its entire 9.43% session gain on a \$18.4bn quarterly capex disclosure. In both cases the market looked past the beat to the spending. That is the AI-capex funding question arriving in the tape as a price rather than as an argument, and it arrives on the same day the equity market made a record high on cheaper oil. If Wednesday's session confirms it, the honest read on the record is that it was a rate-and-energy trade wearing a technology costume.

3 Rates, currencies & commodities

- **Rates: a second bull-flattening day, and the belly led it again.** Tuesday cash closes: 30Y 5.19% (-4bp), 10Y 4.627% (-5.9bp), 5Y 4.333% (-6.7bp), 13-week bill 3.730% (+3.0bp). Two sessions in a row the 5-year has led a rally, and two sessions in a row the front bill has refused to follow. That is a market pricing lower inflation without pricing an easier Fed — which is exactly what a \$9 fall in crude does and exactly what three hawkish FOMC dissents prevent. The 10-year spent the entire session inside Hedgeye's 4.60–4.75% band and closed 2.7bp above the floor. Overnight the futures are marginally firmer: ZB +0.17%, ZN +0.03%, ZF +0.01%, ZT -0.01%.
- **Hedgeye's rate signal has not changed and Keith restated it explicitly.** Bonds remain bullish TRADE and TREND from a yield perspective across the 2-year, 10-year and 30-year — meaning the house still expects yields to rise — and TLT is described as “a good core short”. Note the tension with the tape: yields have now fallen for two consecutive sessions and TLT closed +0.77%. Keith's framing is that the bond market is still discounting an August inflation re-acceleration, and that Hedgeye is simply out of duration. If crude keeps falling, this is the position in the book with the most exposed logic.
- **The dollar did nothing, and Hedgeye sold the last of it.** DXY closed 99.858 and has traded a two-basis-point range overnight, 99.829–99.887, against a Risk Range of 99.41–101.42 that remains NEUTRAL. Keith confirmed on The Macro Show that he sold all remaining dollar exposure on Monday after holding it for a couple of days, on a lower high in the dollar's risk range against higher lows in gold. Crosses are equally inert: EUR/USD 1.1534 (flat), GBP/USD 1.3450 (-0.01%), AUD/USD 0.7045 (-0.03%). The exception is **NZD/USD 0.5878, -0.32%**, which is the one G10 cross with a domestic event — New Zealand's Q2 unemployment printed this morning and Hedgeye is long the country through ENZL.
- **The yen is now four sessions into doing nothing at all.** USD/JPY 157.573, -0.13%, having ranged 157.443–157.809. EUR/JPY 181.693 (-0.12%). The joint US–Japan intervention of last week has produced a pin rather than a trend, which is the outcome the Ministry of Finance would have wanted and not the one that usually happens. The BoJ's July minutes published at 07:50 GMT+8 this morning; Ueda has said September is live, and the yen has not moved on either.
- **Oil: the third leg, and the signal flip-flopped inside a single broadcast.** WTI Sep settled \$75.77, -5.69%; Brent Oct \$79.36, -5.26%. Overnight WTI has traded as low as \$74.30 and sits \$75.40. The remarkable disclosure of the day is procedural: Tuesday's Early Look published a WTI Risk Range of \$77.28–\$92.36 with the signal **upgraded back to bullish** — one session after it was downgraded to bearish — and Keith then said on The Macro Show that WTI had “briefly moved back to bullish trend, then flipped back to bearish trend during the show”. Two signal changes in 24 hours on the same contract. He also repeated that Hedgeye holds no position in crude at all because the volatility is too high. The published floor of \$77.28 is now \$1.51 above the settle, so the contract is trading below its own band.
- **Products finally capitulated, which they had not done on either of the first two legs.** Natural gas settled -3.56% — after rising 1.24% on Monday while crude fell 5% — and RBOB settled -3.86%. Both fell less than crude, which means the crack widened again: refiners (CRACK) closed **+0.55%** on a day the barrel fell 5.7%, and XLE closed -0.46% while E&P (XOP) fell 1.34%. That is the cleanest single-session vindication of the distinction Hedgeye has been drawing all week — owning a refinery is not owning a barrel. The gasoline futures long (UGA, -4.00%) that was sold on Monday would have lost another 4% on Tuesday.
- **Metals had their best day of the episode, and gold is now Keith's watch item.** Gold Dec settled \$4,152.60, +1.52%; silver Sep \$60.245, +4.12%; copper Sep \$6.6435, +1.57%. Silver and copper both settled above the top of their published bands and gold settled above its \$4,119 ceiling on

the futures contract. Keith's framing on the show: gold has made "day five of a higher low", he would buy the dip, but he is **waiting for Friday's jobs report** because it could move the bond market off a pure oil trade. Overnight all three have given a little back — gold -0.34%, silver -0.58%, copper -0.16% — which is the dip he described, arriving 60 hours early.

4

Hedgeye — regime, risk ranges & Tuesday's five book changes

New since yesterday's brief. A full Tuesday publication cycle: Early Look "#Quad3 Shift & Squeeze!" 19:42 GMT+8, The Macro Show with Summary Notes 22:35, five ETF Pro Plus book changes 22:29, Signal Strength Stocks 23:26. Tuesday's Early Look ranges are the live set until roughly 19:25–19:55 GMT+8 tonight.

HEDGEYE MACRO DASHBOARD	READING	WHAT IT SAYS
US MONTHLY	QUAD 3	August Nowcast. Growth slowing, inflation re-accelerating modestly. Favours energy, tech, health care and REITs by Keith's own sector-style list
MONTHLY QUAD PATH	4 → 3 → 1	CHANGED, AND IT IS THE HEADLINE. July was Quad 4, August is Quad 3, and September is now nowcasted Quad 1 — growth accelerating, inflation slowing. That is the most constructive forward Quad in over a year
BOOK POSITIONING	25 LONG / 14 SHORT	Versus a Quad 4 book with more shorts and fewer longs. Keith: "positioning shifts before the title of the Early Look says the Quad 3 shift is official"
VIX gauge	16.50	Still inside the Investable Bucket (9–19), but +4.04% on a record close. The one input that did not confirm Tuesday
Dealer gamma	POSITIVE	Unchanged from Monday. Keith: higher highs within higher all-time highs generate more momentum — but also warned the street is now chasing at all-time highs

From Tuesday's Early Look and The Macro Show. The September Quad 1 nowcast is new information and it matters more than the August Quad 3 shift, because Quad 1 is the regime in which Keith says he will put small-cap exposure back on. He was explicit that he is not buying small caps yet — Quad 3 does not favour them — and that he may wait until the middle of August for a correction to do it.

Risk Ranges — Tuesday's Early Look "#Quad3 Shift & Squeeze!", live until tonight's set publishes

INSTRUMENT	IMMEDIATE-TERM RISK RANGE	TREND	WHERE IT STANDS NOW
S&P 500 (SPX)	7,339 – 7,644	Bullish	7,736.52 — CLOSED ABOVE THE CEILING by 92.5pts. Ceiling raised from 7,567. ES 7,782.75 overnight is 139pts through it
Nasdaq Composite	24,709 – 26,140	Bullish	26,584.99 — 445pts ABOVE the ceiling. UPGRADED from neutral to bullish. The most overbought index in the set
Russell 2000 (RUT)	2,908 – 3,005	Bullish	3,036.98 — 32pts above the ceiling. RTY 3,053.70 overnight. Keith is still not buying small caps
US 10Y yield	4.60 – 4.75%	Bullish	4.627% — 2.7bp off the floor after two days of falling yields. Band floor lowered from 4.61%
US Dollar (DXY)	99.41 – 101.42	◆ Neutral	99.849 — lower third of the band. Keith sold the last of his dollar exposure anyway
WTI crude	\$77.28 – \$92.36	Bullish → Bearish	\$75.77 settle — BELOW the published floor by \$1.51. Upgraded to bullish in the Early Look, then flipped back to bearish live on The Macro Show. No Hedgeye position in crude
Nat gas	\$2.62 – \$2.90	Bearish	\$2.682 — 6c off the floor. Settled -3.56%, finally joining the energy break
Gold	\$4,011 – \$4,119	Bearish	\$4,152.60 Dec futures settle — above the ceiling, though the band is quoted on spot. Keith: day five of a higher low, buy the dip after payrolls
Silver	\$56 – \$60	Bearish	\$60.245 Sep futures settle, +4.12% — through the ceiling. Band lowered from \$57–\$61
Copper	\$6.32 – \$6.63	Bullish	\$6.6435 Sep futures settle, +1.57% — also through the ceiling. Floor raised from \$6.27
VIX	15.13 – 20.67	Bearish	16.50 — 1.37 off the floor, and it ROSE 4.04% on a record close. The one non-confirming signal in the set
HY credit (HYG)	78.89 – 79.41	Bullish	79.55 — above the ceiling. Band lowered from 79.23–79.78
IG credit (LQD)	105.5 – 106.7	Bearish	106.76 — above the ceiling on a bearish signal, which is the textbook short setup. Hedgeye added LQD to the short side

INSTRUMENT	IMMEDIATE-TERM RISK RANGE	TREND	WHERE IT STANDS NOW
Tech (XLK)	\$168 – \$183	Bullish	186.90 (+4.98%) — \$3.90 above the ceiling. UPGRADED from neutral to bullish. Best sector of the session
Health Care (XLV)	\$159 – \$167	Bullish	162.10 (–0.09%) — mid-band. One of only four S&P sectors to fall
Real Estate (XLE)	\$44.62 – \$46.11	Bullish	45.17 (–0.02%) — mid-band. Flat on a 5.9bp rally in the 10-year, for a second session

Ranges are from Keith McCullough's Early Look "Quad3 Shift & Squeeze!", 4 Aug 07:42 EDT, published off Monday's close. Three signals changed from Monday's set: the Nasdaq Composite and XLK were both upgraded from neutral to bullish, and WTI crude was upgraded from bearish back to bullish — the third signal change on crude in three sessions, and one that Keith then partially retracted live on air. The TREND column carries Hedgeye's directional signal, so bullish on the 10Y yield means the house expects the yield to rise. Tuesday's Early Look published no ranges for Utilities, Financials, Energy, USD/JPY, Brent, Bitcoin, Nikkei, Kospi, Shanghai or DAX. Gold, silver and copper ranges are quoted by Hedgeye on spot; the levels compared against them here are the front-month futures settles and carry a basis — see Data-confidence.

The five ETF Pro book changes — published 22:29 GMT+8 Tuesday

ACTION	POSITION	TREND RANGE	READ
▼ ADD SHORT	US Corporate Bonds (LQD)	105.5 – 106.7	The only new position in the set, and the only one that adds risk. LQD closed 106.76, +0.61%, above its own ceiling on a bearish signal. This is the TLT view expressed in credit — Hedgeye is short duration and now short investment-grade spread duration with it
▼ SELL LONG	Broad Commodities (CERY)	35.04 – 36.98	Closed 35.09, –1.04%, a whisker off the band floor. The last generalised commodity long goes. Read it with the crude signal: the house is now out of the barrel, out of gasoline and out of the basket, and long only energy equities
▲ COVER SHORT	AI Revolution (IVES)	33.17 – 37.70	Closed 38.94, +4.28% — through the top of its band. The Dan Ives AI basket broke TREND against the short and was covered on the day semis ripped
▲ COVER SHORT	AI Technology (AIQ)	55.59 – 61.66	Closed 63.13, +4.23% — also through the ceiling. Two AI shorts covered in one session, three sessions after the AI complex bottomed
▲ COVER SHORT	South Africa (EZA)	60.01 – 65.02	Closed 65.96, +2.53% — through the ceiling. The one non-AI cover, and the only emerging-market short removed

Hedgeye's own rubric: removal from the long side means the ETF has broken TRADE and/or TREND — sell it. Removal from the short side means the same in reverse — cover it. Read the five together and the direction is unambiguous: the book covered its entire published AI short expression and its South Africa short in one session, sold its last broad commodity long, and replaced all of it with a single credit short. That is a book being flattened on the equity side and concentrated on the rates side. Keith's stated count after the changes is 25 long and 14 short. Note the sequencing risk: IVES and AIQ were covered after they had already risen 4.3% and 4.2% respectively, on the second day of a violent AI squeeze — the signal is a follower here, not a leader, and Keith has said before that judging a decision by what happens after it is the wrong test.

Also on the desk — what Keith said on The Macro Show, Tuesday

- ◆ **NEW SHORT: DRAM.** Hedgeye had been long DRAM and is now going to short it after the bounce. Keith framed it as waiting for the bounce rather than chasing what Wall Street is chasing. Set that against Tuesday's tape — SanDisk +10.84%, Micron +7.62%, Western Digital +4.05%, Seagate +1.72% — and this is a position being initiated directly into the strongest memory session of the episode. It is the single highest-conviction contrarian item in the book right now.
- ◆ **MORE SHORT SOUTH KOREA.** Keith said Korea's bounce was "not enough to restore bullish trade and trend" and that he is going to short more. EWY closed +6.80% at \$171.14 on Tuesday and the Kospi is up another 4.4% as this brief is written. He is also net short China and short Qatar (QAT +0.91%), long New Zealand (ENZL +1.25%) and long the Philippines (EPHE –0.19%), and explicitly not long Japan — on a morning the Nikkei is up 2.9%.
- ◆ **STILL NET LONG SOFTWARE, NOT SEMIS.** Restated on Tuesday: "software has been doing a lot better" and "I don't need to be long the semiconductor bubble." IGV +4.70% against SMH +5.55% on the day he said it. One session does not break the thesis, but it is the second time in three days the intra-tech split has been the explicit basis of the call, and it has now gone both ways.
- ◆ **UNCHANGED: long XLE and CRAK, no position in crude.** If the signals break he sells them; if they hold he buys more. CRAK closed +0.55% and XLE –0.46% on a 5.7% break in the barrel, which is the outcome the position was constructed to produce.
- ◆ **THE BROAD BOOK: 13 US equity ETFs.** Long equal-weight S&P (RSP, +1.44% Tuesday) rather than SPY (+1.80%), plus health care, REITs, refiners and — newly named — the dividend and disruptor sleeves: NOBL, VYM and FAB. Keith's stated reason for preferring RSP is that SPY is levered to fifteen stocks, five of which drove 43% of Monday's move. On Tuesday RSP lagged SPY by 36 basis points, its second consecutive day of lagging.
- ◆ **GOLD: waiting, not buying.** Day five of a higher low. He would buy the dip but is waiting for Friday's jobs report, on the view that payrolls could shift the bond market off a pure oil trade. Gold settled +1.52% and is –0.34% overnight.
- ◆ **SMALL CAPS: not yet, and the reason is dated.** The Russell was the biggest position at the start of the year and was removed for Quad 4. It goes back on when he sees Quad 1 — which the nowcast now puts in September — and he said he may wait until mid-August for a correction. The Russell closed 32 points above its Risk Range ceiling on Tuesday, which is consistent with waiting.

Signal Strength Stocks was refreshed at 23:26 GMT+8 Tuesday, finishing at 64 names — down from 68. Added: J.M. Smucker (SJM) and Royal Caribbean (RCL). Removed: AT&T (T), Murphy USA (MUSA), LifeStance (LFST), Monster Beverage (MNST), Bruker (BRKR) and Scotts Miracle-Gro (SMG). A net removal of four names on a day the S&P made a record is worth noting on its own.

Adding a cruise line and a packaged-food name while removing a telco, a fuel retailer and two staples is not an obvious Quad 3 combination, and Murphy USA leaving on the day gasoline futures fell 3.86% is the most legible of the six.

5 Mag7 scoreboard (Tue 4 Aug close)

NAME	LAST	DAY	CAP (DERIVED)	READ
Nvidia (NVDA)	\$211.94	▲ +2.56%	~\$5.14T	Best of the Mag7 and still not the story. The semiconductor complex around it moved two to five times as far
Apple (AAPL)	\$309.38	▲ +1.96%	~\$4.55T	Reversed two sessions of memory-cost selling. The cheapest explanation is that a 5.7% break in crude is a consumer story and Apple is a consumer stock
Tesla (TSLA)	\$327.35	▲ +1.64%	~\$1.29T	Fifth session above \$300. Still the year-to-date Mag7 laggard and still 34% below its 52-week high
Alphabet (GOOGL)	\$377.65	▲ +1.11%	~\$4.62T	Fourth straight gain, but it stopped leading. The AI-monetisation bid rotated into hardware
Microsoft (MSFT)	\$492.81	▲ +1.06%	~\$3.66T	The name Keith called the Quad 3 expression on Monday underperformed the Nasdaq by 153bp on Tuesday
Meta (META)	\$587.94	▼ -0.39%	~\$1.49T	Gave back a little of Monday's +6.02%. Still ~26% below the \$796.25 52-week high
Amazon (AMZN)	\$277.42	▼ -2.32%	~\$2.99T	Worst of the Mag7. Gave back the \$3 trillion handle it earned on Monday , one session later, on no company news

Tuesday official cash closes. The dispersion is the point: on a session when the Nasdaq Composite rose 2.59%, the best Mag7 name rose only 2.56% and two of them fell. Five of the seven underperformed the index they dominate — which is the single cleanest available measure of how broad Tuesday's rally actually was, and the mirror image of Monday, when Keith noted that five stocks drove 43% of SPY's move. Market capitalisations are derived from the caps published in yesterday's edition adjusted by Tuesday's percentage moves, not read from a primary source; treat them as approximate and see Data-confidence.

6 Positioning & options

- **The VIX rose on a record close, and that is the most important line in this brief.** 16.50, +4.04%, having ranged 15.51–16.65 on a day the S&P printed an all-time high both intraday and on the close. Implied volatility normally falls into records. It rose. The mechanical readings that follow: dealer gamma is still positive so realised moves stay compressed, but somebody was paying up for convexity into a calendar containing ISM Services tonight, a 911.5 million share SpaceX unlock tomorrow and payrolls on Friday. Insurance at a 16.50 handle is still cheap; it is simply no longer getting cheaper.
- **Six simultaneous overbought signals is a sizing instruction, not a forecast.** SPX 92.5pts above its ceiling, COMPQ 445 above, RUT 32 above, XLK \$3.90 above, HYG above, LQD above. Hedgeye's rulebook treats a close above the top of the immediate-term range as the place to reduce rather than add, in the same way a break of the floor is the place to cut. The house's own response was to add a short in the one instrument where the overbought reading coincided with a bearish TREND (LQD) and to cover the shorts where it coincided with a bullish TREND (IVES, AIQ, EZA). That is the framework applied consistently. What it does not do is add anything on the long side.
- **The short-squeeze machine ran for a second day and moved to a different address.** Monday it was neoclouds and AI infrastructure — CoreWeave +19.49%, Nebius +11.64%. Tuesday it was semiconductor hardware and memory — Marvell +12.80%, Coherent +12.35%, Intel +10.83%, SanDisk +10.84%, Super Micro +10.65%. Keith's Early Look put a number on Monday's version: the Most Consensus Hedge Fund Short Basket led all gainers at +4.9%, Profitless Tech was +4.0%, and the Retail Bro Consensus Basket was +3.8%. He was explicit that this is what he is *not* chasing, and equally explicit that High Beta Momentum is still -15.1% over the last month after those gains. Two days of squeeze does not repair a month of liquidation.
- **Equal weight lagged for a second session, and Keith pre-empted the criticism.** RSP +1.44% against SPY +1.80% — 36bp of underperformance, after 50bp on Monday and 87bp on Friday. His answer in the Early Look was that SPY has beaten RSP over two trading days and RSP has beaten SPY over two months, and that he is not abandoning the process for the former. Worth holding both facts: the Russell's +1.85% and the equal-weight's +1.44% are genuinely broad participation, and the cap-weighted index still won.
- **The SpaceX setup resolved half-way and the dangerous half is tomorrow.** SPCX closed 125.33, +9.43%, into its first-ever quarterly report — then gave the entire gain back after hours, trading \$115.97, on a disclosed \$18.4bn of quarterly capital expenditure. Revenue beat. The stock is now roughly back where it started the session, two days off an all-time low of \$107.01, with **roughly 911.5 million shares unlocking on Thursday** against a ~\$86bn free float and a reported 32.2% short interest. The earnings binary has been spent; the supply binary has not.
- **Bitcoin is the asset that has not participated in anything.** \$63,971, -0.13% overnight, and it has now gone nowhere for eight sessions while the S&P made two consecutive records. Ether \$1,860.53, Solana \$73.38, XRP \$1.0685 — all within half a percent. Strategy (MSTR) closed +2.94% at \$97.65, having disclosed last week that it has started selling coin. A risk-asset rally of this magnitude leaving crypto entirely untouched is itself information about who is doing the buying.

7 Sector rotation — leaders & laggards (Tue 4 Aug)

SECTOR (SPDR PROXY)	CLOSE	DAY	NOTE
Technology (XLK)	186.90	▲ +4.98%	BEST, by more than three points. Semis (SMH) +5.55% vs software (IGV) +4.70% — the Monday split inverted
Materials (XLB)	52.00	▲ +1.94%	Copper +1.57% did the work again. Second-best sector for a second session
Industrials (XLI)	186.40	▲ +1.77%	Caterpillar +5.60% on results. Boeing added another +1.57% after Monday's certification
Financials (XLF)	57.88	▲ +0.87%	Goldman +2.52%. Lagged again on falling yields — two sessions of the same pattern
Communication Services (XLC)	112.04	▲ +0.63%	Monday's best sector, +2.86%, was fifth on Tuesday. Alphabet +1.11%, Meta -0.39%
Consumer Staples (XLP)	85.37	▲ +0.60%	Defensives up on a record day. Not the usual risk-on tell
Consumer Discretionary (XLY)	118.29	▲ +0.07%	Effectively flat. Amazon -2.32% took the whole sector's move
Real Estate (XLRE)	45.17	◆ -0.02%	Hedgeye long. Flat on a 5.9bp rally in the 10-year, for the second session running
Health Care (XLV)	162.10	▼ -0.09%	Hedgeye long. AstraZeneca -1.49% still bleeding from the Bristol Myers report
Energy (XLE)	58.52	▼ -0.46%	Hedgeye long. Held up remarkably on a 5.7% break — E&P (XOP) -1.34%, refiners (CRAK) +0.55%
Utilities (XLU)	44.11	▼ -0.56%	WORST. Broke to bearish TREND last week and has not recovered even as yields fell 12bp in two days

▲ **Leaders, and they were all made of silicon.** Zebra Technologies +26.47% (Q2 beat), Gartner +22.61% (Q2 beat), Marvell +12.80%, Coherent +12.35%, Intel +10.83%, SanDisk +10.84%, Super Micro +10.65%, Lumentum +8.92%, Lam Research +7.85%, Micron +7.62%, CoreWeave +7.16%, AMD +7.00% (before it reported), KLA +6.95%, Broadcom +6.61%, Nebius +6.19%, Caterpillar +5.60%, Applied Materials +5.48%, Shopify +5.38%, ASML +4.22%, TSMC +2.72%. And **Palantir +29.45% to \$162.66**, the largest single-name move in the S&P 500 and a full session of follow-through on Monday's after-hours print.

▼ **Laggards, and they were mostly guidance.** Aptiv -16.62% on weak forward guidance and a large sequential revenue decline after its spin-offs; NRG Energy -15.48% on mixed Q2 results; BP -4.11% despite more than doubling profit; Diamondback -3.46%; then the rest of the energy complex — Chevron -1.44%, Exxon -0.71%, ONEOK -0.67%. Amazon -2.32%, Spotify -1.68%, AstraZeneca -1.49%, Marriott -0.47%, Eli Lilly -0.51%, Meta -0.39%.

◆ **Rotation read.** Two days, two different squeezes, one direction. Monday was the neocloud and AI-infrastructure complex; Tuesday was semiconductor hardware and memory. Both are the July liquidation running backwards. What is genuinely new on Tuesday is that the megacaps stopped participating — five of seven Mag7 names underperformed a 2.59% Nasdaq and two fell — which means the index gain came from the second and third tiers. That is the definition of broadening, and it is the thing bulls have been asking for all year. The caution is the source: broadening driven by short covering in de-rated names is not the same as broadening driven by new money, and the tell will be whether the same names hold their gains through Wednesday's session with no squeeze fuel left. Energy is the honourable exception in both directions — the sector fell only 0.46% on a 5.7% break in the barrel, and the refiners actually rose.

8 Forward — futures & the week ahead

- **Where the tape is as Hong Kong prepares to open.** At 08:55 GMT+8: ES 7,782.75 (+0.22%), NQ 29,839.75 (-0.08%), YM 54,386 (+0.22%), RTY 3,053.70 (+0.30%) — three green, one red, and the red one is the Nasdaq after its biggest day. Volumes are heavier than the previous night at 23,296 / 22,112 / 1,523 / 2,397 lots. Treasury futures a touch firmer: ZB +0.17%, ZN +0.03%, ZF +0.01%, ZT -0.01%. WTI -0.49% at \$75.40 having traded \$74.30; Brent -0.30% at \$79.12 having traded \$78.15. Gold -0.34%, silver -0.58%, copper -0.16% — the metals are giving back a little of a very strong session. Dollar 99.849, unchanged. Crypto flat to lower across the board. Nikkei futures 65,990, +0.73%, with Tokyo cash already up 2.9%.

DAY (GMT+8)	KEY EVENTS
Wed 5 Aug (today)	★ BoJ July meeting minutes, 07:50 — already published as this brief is written; contents not carried here, see Data-confidence. ★ NZ Q2 unemployment, 06:45 (cons. 5.4%) — also already out; Hedgeye is long New Zealand. ★ ADP employment change 20:15 — the first of the week's three labour reads, and the one that will be scored against Tuesday's soft JOLTS. ★ S&P Global Services PMI 21:45 and ISM Services 22:00 — the cross-check on Monday's 55.6 manufacturing surprise, and the single most important scheduled number before Friday. ★ EIA crude inventories 22:30, into a barrel that has fallen 10.5% in three sessions. ★ Earnings: Eli Lilly, Disney, Uber, Shopify, Figma, eBay and SanDisk. ★ Ferguson replaces Electronic Arts in the S&P 500 at the open.

DAY (GMT+8)	KEY EVENTS
Thu 6 Aug	★ SpaceX lock-up expiry — roughly 911.5m shares, the largest single tranche of a 16-date staggered schedule, landing two sessions after an earnings report the market sold. Against a ~\$86bn free float and 32.2% short interest. ★ Weekly jobless claims 20:30 (prior 197k). ★ Australia trade balance 09:30. ★ Earnings: Datadog, Lyft, Warner Bros Discovery, Roku, Airbnb, DraftKings.
Fri 7 Aug	★ US July employment report, 20:30. The arbiter of a three-way argument: ISM manufacturing at 55.6 with employment expanding for the first time in 33 months, JOLTS openings down 178,000 to 7.359m, and three FOMC members who dissented in favour of a hike on 29 July. June ran +57,000 payrolls against a 115,000 consensus with unemployment at 4.2% only because participation fell 0.3pp; April–May were revised down a combined 74,000. July consensus is unusually dispersed — see Data-confidence. Because the dissents were hawkish, a hot print is the risk here, not a cold one. ★ China trade balance 11:00.
Watch	Whether a Hormuz instrument is actually signed, or whether Bessent's "today or tomorrow" joins the June memorandum that broke inside five weeks. Whether crude stabilises below Hedgeye's \$77.28 floor or keeps going — \$74.30 traded overnight. Whether the S&P can hold a close 92 points above its own ceiling, or mean-reverts back inside the range. Whether AMD's after-hours 8.8% decline on a beat-and-raise infects the semiconductor complex that led Tuesday. Whether ISM Services confirms or contradicts Monday's manufacturing print. And whether the September Quad 1 nowcast survives Friday — because that is the regime in which Hedgeye says small caps go back on.

Times converted to GMT+8 by adding 12 hours to US Eastern. This brief was written at approximately 09:15 GMT+8 Wednesday; the BoJ minutes (07:50) and New Zealand unemployment (06:45) had already published at the time of writing and their contents were not retrieved — they are listed for completeness and flagged in Data-confidence. Earnings times for Eli Lilly, Disney, Uber and Shopify are from secondary calendars and are not confirmed against company releases; yesterday's edition carried a correction on exactly this class of error and the caution stands.

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Corporate news

- **AMD beat, raised, and lost 8.8% after hours.** Q2 revenue \$11.54bn, up 50% year-over-year and 13% sequentially, against \$11.28bn expected. Adjusted EPS \$1.66 against \$1.55. Data centre revenue \$6.7bn, **up 107% year-over-year** and now 58% of the company. Non-GAAP gross margin 56%, operating income \$3.1bn, net income \$2.8bn. Q3 guided to approximately \$13bn ±\$300m — about 41% growth year-over-year and 13% sequentially — with gross margin held at 56%. The stock closed the regular session +7.00% at \$158.58 and traded down to roughly \$147.85 after hours, a decline of about 8.8% from the close and back below where it started Friday. There is no line in that release that explains the reaction. The market is repricing the multiple, not the numbers.
- **SpaceX's first quarterly report as a public company: revenue beat, capex shock.** The company broadly surpassed forecasts on revenue and disclosed **approximately \$18.4bn of capital expenditure in the quarter**, with the increase attributed to its artificial-intelligence business. It projects a \$100bn annualised revenue run rate by end-2026 and has pulled its internal \$1 trillion revenue forecast forward to 2030 from 2031. SPCX closed +9.43% at \$125.33 and traded \$115.97 after hours, giving back the entire session gain. This was investors' first look at audited results for a three-segment enterprise — space, connectivity and AI — following the February 2026 integration of xAI and X. The lock-up expires tomorrow.
- **Palantir finished the job: +29.45% to \$162.66.** Monday night's print — revenue \$1.935bn (+93%), US commercial +149%, adjusted EPS \$0.41, FY26 revenue guidance raised to \$8.150–8.158bn, a Rule of 40 score of 155% and Karp's "otherworldly" — became a full-session repricing rather than an after-hours pop. The stock was up nearly 17% in the premarket and closed up almost thirty. It had been down 29% year-to-date going into the print. This is the largest single-day move by a company of this size in the brief's record and it is the reason the S&P's record is not purely an oil story.
- **BP more than doubled profit and fell 4.11%.** Second-quarter net profit \$3.91bn against \$1.62bn a year earlier; underlying replacement cost profit \$5.7bn against roughly \$5bn consensus, up about 78%, on war-inflated oil and gas prices and a refining boom. The new chief executive used the print to unveil a sweeping divestment plan. The stock fell 4.11% anyway — because the quarter it reported was earned on a \$103.85 Brent average and the barrel is now \$79.36. BP is the first major integrated to report into the break, and the market marked the forward book rather than the trailing one. Expect the same arithmetic to apply to every energy reporter for the rest of the season.
- **Pfizer beat and lifted the low end.** Adjusted EPS \$0.77 against \$0.68 expected; revenue \$15.03bn against \$14.41bn. Full-year revenue guidance now \$60.5–62.5bn, with the company citing an expected \$1.5bn increase from non-Covid products. PFE closed +1.52%. A clean beat that moved the stock less than one and a half percent on a day the index rose 1.79% is its own comment on how much of the tape was macro.
- **The two biggest single-name gainers outside AI were both boring beats.** Zebra Technologies +26.47% after beating on second-quarter earnings, and Gartner +22.61% after better-than-expected results. Caterpillar +5.60% on its own print. Shopify +5.38% and eBay +2.31% ahead of reporting. Goldman Sachs +2.52%. Note the pattern: this earnings season is now running at roughly 85% of S&P 500 companies beating with aggregate profit growth tracking above 47% by one bank's count, and 77% beating with Q2 EPS growth around +27% ex the Alphabet and Amazon mark-ups by another. The dispersion between those two figures is large; the direction is not in dispute.
- **And the losers were guidance, not results.** Aptiv –16.62% on weak forward guidance and a large sequential revenue decline following its recent spin-offs, into broader automotive-sector concerns. NRG Energy –15.48% on mixed second-quarter numbers. Diamondback –3.46% and the rest of the energy complex lower with the barrel. Marriott –0.47%, still digesting Monday's 43% Middle East RevPAR collapse. AstraZeneca –1.49%, a second session of bleeding on the Financial Times report of merger talks with Bristol Myers; BMY closed +0.64%, so the spread between the two has widened again in the direction that says the market thinks AstraZeneca would be buying a patent cliff.

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Macro data

- **JOLTS undid Monday's ISM, and it did so on the labour component specifically.** June job openings fell 178,000 to 7.359 million against a 7.40 million consensus. The declines were concentrated: healthcare -147,000, leisure and hospitality -86,000, wholesale trade -74,000, business services -71,000. Monday's ISM manufacturing had an employment sub-index at 52.8, expanding for the first time in thirty-three months, and that was the single most surprising component of the whole print. Twenty-four hours later the vacancy count says the opposite. JOLTS is a June number and ISM is a July number, so they are not strictly contemporaneous — but they are the two labour signals the market has between now and Friday, and they disagree.
- **The bond market believed JOLTS.** The 5-year fell 6.7bp, the 10-year 5.9bp, the 30-year 4bp, and only the 13-week bill rose. That is a curve pricing a softer labour market and a lower oil price simultaneously, with the front end held up by three hawkish FOMC dissents. Two sessions ago the same curve rallied on a hot ISM because crude fell harder; on Tuesday it rallied on a soft JOLTS and crude falling harder. The oil channel and the growth channel are now pulling in the same direction for the first time this week, which is why the move was orderly.
- **Monday's ISM, for the record, has not been revised away.** Manufacturing 55.6 against a 54.0 consensus and a 53.3 prior — the strongest since May 2022. Production 58.5, new orders 56.7, backlog 55.0, new export orders 53.0, employment 52.8. Prices paid eased to 71.1 from 73.0. The Atlanta Fed's GDPNow was lifted to 6.2% from 5.0%. Tonight's ISM Services at 22:00 GMT+8 is the cross-check, and it covers roughly four-fifths of the economy.
- **Friday's payrolls is now arbitrating a three-way argument.** June ran +57,000 against a 115,000 consensus, with unemployment holding 4.2% only because participation fell 0.3 percentage points to 61.5%, the lowest since March 2021, and with April and May revised down a combined 74,000. Consensus for July is genuinely dispersed across sources, roughly 88,000 to 130,000, with the unemployment rate variously 4.2% or 4.3%. Establish your own number. The asymmetry is unusual and worth restating: because the dissents at the 29 July meeting were *hawkish*, a hot print is the risk to this market, not a cold one.
- **The Fed is still at 3.50–3.75% and the market still prices a September hike as more likely than not.** The 29 July hold was a 9–3 vote with Hammack, Kashkari and Logan dissenting for a hike, and the statement cited elevated inflation partly attributable to Middle East energy shocks. That clause is now doing a lot of work in the wrong direction: crude has fallen 10.5% in three sessions, which weakens the committee's own stated justification for the hawkish position. The 63% September hike probability carried in this brief is a market-implied figure as of 31 July and will have moved materially — treat it as stale.
- **Korea is tightening into a market that has now risen 6% in two days.** The Bank of Korea raised its base rate 25bp to 2.75% on 16 July, its first hike in three and a half years, and a second consecutive hike is expected on 27 August. Governor Shin told the National Assembly on 29 July that maintaining a hike stance is “most reasonable”. July CPI was scheduled for release on Tuesday and is not carried here. The Kospi has now gone +17.91%, -5.12%, +1.62% and +4.4% intraday across four sessions, which is not a market a central bank should be reading for guidance in either direction.
- **No central bank decisions this week.** No Fed, ECB, BoE, BoJ, RBA, RBNZ or BoK meeting falls between 5 and 7 August. The BoJ held at 1.00% on 31 July on an 8–1 vote and published the minutes at 07:50 GMT+8 this morning; the BoE holds at 3.75%; the RBNZ has restarted a tightening cycle with further hikes expected in September and December; the RBA is expected on hold at 4.35%. The BoK meets 27 August.
- **And the tariff round is still underneath all of it.** The 10% to 12.5% Section 301 round on 60 trade partners was cited at the July press conference as one of the shocks the committee weighed. It sits under the Quad 3 inflation call and is entirely independent of the Strait. Whatever is signed in Oman, this part does not move.

11 Geopolitics

- ▲ **The claim got its most senior and most specific backing yet.** Treasury Secretary Scott Bessent said on Tuesday that a deal could be reached with Iran “today or tomorrow” to open the Strait of Hormuz to “freedom of movement”, and stated flatly: “We are in talks with the Iranians.” Secretary of State Rubio said progress had been made in the Hormuz talks. Qatar said an interim proposal had been drafted. US and Middle East officials were described as zeroing in on a deal. That is three named principals and one regional government describing the same process on the record within a single session — a materially stronger evidential base than Sunday's social-media post or Monday's presidential characterisation.
- ▼ **Iran has still not confirmed it, and the substance is still unresolved.** Tehran has denied that the two sides are talking to resolve the conflict, and earlier US statements signalling an imminent deal have proven overly optimistic. Trump himself stressed that any arrangement would not mean the immediate reopening of the Strait, because disputes over navigation arrangements remain unresolved — Washington calling for free international navigation, Tehran insisting on a role in managing passage. There were also fresh reports of attacks in the Strait on Tuesday morning, which is why crude was *higher* in the European session before it collapsed in New York.
- ◆ **What is actually priced, stated plainly.** A drafted interim proposal, a Treasury Secretary's timeline, and a Secretary of State's progress report — against a counterparty that denies direct negotiations, an unresolved navigation dispute, and attacks in the waterway on the same day. The market has taken \$8.90 out of the front crude contract in three sessions on that basis and given the equity market two consecutive records. It is not an unreasonable probability weighting. It is a probability weighting.
- ◆ **The base rate is poor and it is recent.** The June memorandum of understanding was signed, held for weeks and broke: on 7 July Iran fired on three commercial vessels in Omani waters, CENTCOM struck in response, and by 12 July the IRGC had formally closed the Strait. Trump reinstated the blockade on 13 July. The Strait has been impassable since 8 July and this is not the first halt announced since the war began on 28 February. Commonwealth Bank estimated last week that Hormuz transit had recovered to only 30–35% of pre-war levels against a normal ~88 ships a day, and that 50–60% would be enough to reassert oversupply. Nothing published on Tuesday updates that number.
- ◆ **The position-sizing read has not changed, but the skew has.** Three sessions ago the risk was that a peace headline was wrong. Now the risk is symmetrical and larger in both directions: crude at \$75.77 has priced a meaningful part of a reopening that has not happened, so a breakdown in talks is worth more than it was, *and* an actual signature releases a real-economy recovery — Marriott's Middle East RevPAR was -43% —

that nobody has modelled. The financial repricing happens in hours and is mostly done. The real repricing takes quarters. That asymmetry, not the barrel, is where the money in a genuine de-escalation sits.

12 Asia setup — today (Wed 5 Aug, live at 08:45–09:10)

INDEX	LEVEL	MOVE	THE WEDNESDAY SETUP
Nikkei 225	65,828.38 LIVE	▲ +2.93%	Opened violently, printed 66,170.04, and has already given back a third of the gap. Tuesday closed 63,957.53 (+0.32%). Still ~9.6% below the 72,831.73 52-week high. Keith is explicitly not long Japan
Kospi (Korea)	6,636.86 LIVE	▲ +4.37%	The strongest market in the region again. Ranged 6,591.06–6,674.66. Tuesday closed 6,358.95 (+1.62%). EWY closed +6.80% in New York. Hedgeye said on Tuesday it is going to short more
Kosdaq (Korea)	802.68 LIVE	▲ +2.81%	Through 800 for the first time in the episode. Tuesday +5.88% to 780.72. The small-cap index has now outrun the Kospi over three sessions
S&P/ASX 200	9,150.60 LIVE	◆ +0.05%	The tell of the morning. Opened to 9,213 and has given back the entire gap. Tuesday +1.40% to 9,145.80. Heavy energy and materials weight into a 5.7% crude break
S&P/NZX 50	13,951.09 LIVE	▲ +0.34%	Tuesday +0.93% to 13,903.46. Hedgeye long via ENZL (\$47.72, +1.25% Tuesday). Q2 unemployment printed at 06:45 — see Data-confidence
Taiwan (TWII)	43,360.66	◆ -0.06%	Tuesday close, pre-open Wednesday. Traded 42,895.81–43,912.77 and finished flat — a 2.4% intraday range that resolved to nothing, into a US semiconductor session that ripped 5.55%
Shanghai	3,822.29	▲ +0.33%	Tuesday close. Modest, and the region's laggard for a third session — China is still trading its own domestic contraction rather than the global tape
Shenzhen	13,885.71	▲ +3.25%	Tuesday close, and the surprise of the session. Massively outperformed Shanghai on the tech read-through. CSI 300 not carried
Hang Seng	25,852.92	▼ -0.60%	Tuesday close, snapping a five-day run. Opens 09:30 into a US record and a Kospi up 4.4% — the setup is for a gap it has repeatedly declined to take
Sensex	78,428.95	▼ -0.27%	Tuesday close, ending a five-day run. USD/INR 95.37. India remains the region's cleanest beneficiary of a cheaper barrel and has now failed to rally on the two biggest down-days in crude
Straits Times	5,612.25	◆ -0.00%	Tuesday close. Unchanged to the second decimal for a second session — 5,612.28 on Monday, 5,612.25 on Tuesday

Nikkei, Kospi, Kosdaq, ASX 200 and NZX 50 are live at 08:45–09:10 GMT+8 Wednesday; Taiwan, Shanghai, Shenzhen, Hang Seng, Sensex and the Straits Times are Tuesday 4 August closes and those markets had not opened at the data cut. Hong Kong and Shanghai open 09:30, India 12:15. USD/KRW 1,425.08 live, having closed Tuesday at 1,429.34 — the won is firming with the index.

- ◆ **The read.** Asia is gapping and fading, which is the single most useful thing on this page. The Nikkei opened up 3.5% and is up 2.9%. The ASX opened up 0.7% and is up 0.05%. Both gave back most of the gap inside the first hour. Only Korea is holding its move, and Korea is holding it because Korea is the most shorted, most de-rated and most positioning-driven market in the region — the Kospi is up 6.1% from Monday's close in two sessions and is still around 27% below its 9,114.55 June record. The region therefore opens into a genuine contradiction: a US record and a 10.5% three-session collapse in the oil price are unambiguously good for every net importer here — Japan, Korea, Taiwan, India, the Philippines — but the two markets with the most direct semiconductor leverage did nothing on Tuesday (Taiwan -0.06%) or are fading this morning. Expect dispersion rather than a clean beta day. And note the thing everyone in this region will be watching at the US open: AMD beat, raised, and fell 8.8% after hours. If the semiconductor complex takes that badly, Tuesday's Asian setup inverts before Hong Kong closes.

13 AI watch

- **The funding question arrived as a price, twice, in the same hour.** AMD beat, more than doubled data-centre revenue and guided Q3 to roughly 41% growth — and fell 8.8% after hours. SpaceX beat on revenue and disclosed \$18.4bn of quarterly capital expenditure driven by its AI business — and gave back a 9.43% session gain. Neither reaction is about demand. Both are about what it costs to serve it. For eighteen months the bear case on AI has been an argument conducted in research notes; on Tuesday evening it was conducted in the tape, on two good prints, back to back.
- **And yet the semiconductor complex had its best session of the year during the day.** SMH +5.55%, and underneath it Marvell +12.80%, Coherent +12.35%, Intel +10.83%, SanDisk +10.84%, Super Micro +10.65%, Lumentum +8.92%, Lam Research +7.85%, Micron +7.62%, KLA +6.95%, Broadcom +6.61%, Applied Materials +5.48%, ASML +4.22%, TSMC +2.72%. There was no single catalyst. The best available explanations are a wave of AI-memory price-target hikes across the group and Intel's late-July data-centre number (+59%) still working through sentiment. Treat it as the July liquidation reversing rather than a cycle turning — and note that it happened hours before AMD gave the complex a reason to reconsider.

- **Palantir is the demand answer and it is not ambiguous.** +29.45% on a full session, on revenue +93%, US commercial +149%, remaining deal value +124% and a Rule of 40 score of 155%. In the same quarter, Azure passed \$100bn annualised, AWS grew 37% and Google Cloud grew 82%. Four vendors, four starting points, all accelerating. Whatever is true about AI valuations, enterprise spend is still accelerating in reported revenue. The question the market asked on Tuesday night was never whether anyone is buying. It was who funds the depreciation.
- **Hedgeye covered its entire published AI short expression on the same day.** IVES (+4.28%) and AIQ (+4.23%) were both removed from the short side at 22:29 GMT+8 Tuesday, having each broken through the top of their TREND bands. That leaves the book with no direct short against the AI complex at all — and, separately, a stated intention to move DRAM from long to short. So the house is covering AI software and infrastructure shorts while initiating a memory short, on the day memory was the strongest sub-group in the market. That is either a very precise distinction or a very exposed one, and Friday will start to tell you which.
- **Memory remains the fault line, and the sign has flipped.** SanDisk +10.84%, Micron +7.62%, Western Digital +4.05%, Seagate +1.72% — and Apple +1.96%, reversing two sessions of selling on the memory-cost problem Cook named on the record. The market spent two days pricing memory as a margin problem for buyers and then spent one day pricing it as a pricing regime for producers, without resolving that both are true. Korea is the purest expression and it is up 4.4% this morning with Samsung and SK Hynix leading. Hedgeye is short the country and about to be short the commodity.
- **The capex number has not changed and it is now the whole argument.** The four hyperscalers have guided to a combined \$720–745bn of 2026 capital expenditure and Bloomberg puts Big Tech's outstanding AI commitments at roughly \$2 trillion. Add SpaceX's \$18.4bn quarter to that. It is funded at the long end, where the 30-year is 5.19% after falling 4bp, and it is operated on a power bill that a 10.5% three-session decline in crude has just made cheaper. Both of those inputs improved on Tuesday. The stocks still sold the spending. That is the disconnect to watch tonight.

14 Beyond the markets

- **The Dow closed above 54,000 and the VIX went up.** Records are supposed to be made on falling implied volatility, because a record means the thing everyone feared did not happen. On Tuesday the S&P made a record intraday high and a record close, the Dow made its second consecutive record, and the price of insurance rose 4.04%. There are two honest readings. One is mechanical — a 4% move off a 15.86 base is 64 cents and the level is still historically cheap. The other is that someone with a calendar in front of them looked at a 911.5 million share unlock on Thursday and a payrolls print on Friday and decided that a record high was a good place to buy protection rather than a good place to sell it.
- **Two very good earnings reports were sold, and that is rarer than it sounds.** AMD grew data-centre revenue 107% year-over-year and guided the next quarter up 41%. SpaceX beat revenue estimates in its first report as a public company and pulled a \$1 trillion internal forecast forward by a year. Both stocks fell after hours. When a market stops paying for growth and starts interrogating the cost of producing it, that is usually the beginning of a re-rating rather than a bad night. It is one evening and it should not be over-read. But it is the second consecutive session in which the most informative price action happened after the close.
- **Amazon held \$3 trillion for exactly one day.** It crossed on Monday for the first time, on a record close, at the end of its best week since 2015. On Tuesday it fell 2.32% on no company news and gave the handle back. Milestones of this kind are arithmetic, not achievements, and the round number is a function of the share count. But there is something clarifying about a \$3trn market capitalisation that lasted a single session in a week when the index it belongs to made two records.
- **The most consequential number of the week is a vacancy count nobody watched.** Job openings fell 178,000. Healthcare alone lost 147,000 postings — healthcare has been the single largest source of US job creation for three years. That is a June number, released on a day the market was watching a Treasury Secretary talk about a shipping lane, and it went almost entirely unremarked. If Friday's payrolls comes in soft and the healthcare component is the reason, this will have been the print that told you first.
- **BP doubled its profit and the stock fell four percent, which is the whole trade in one line.** The quarter BP reported was earned on a \$103.85 Brent average during a shooting war. The barrel is now \$79.36 and falling. Every energy company reporting for the rest of this season will publish an extraordinary trailing quarter into a forward curve that has repriced underneath it. That is not a criticism of BP; it is a description of what happens when a commodity shock ends faster than the reporting calendar. And it is precisely why Hedgeye's construction — long the refiners, long the sector, no position in the barrel — outperformed a straightforward energy long on Tuesday for the third session running.
- **A signal that changed three times in three days.** Hedgeye's WTI TREND went bullish, then bearish on Monday's Early Look, then back to bullish on Tuesday's, and then Keith said on air that it had flipped to bearish again during the broadcast. That is not a failure of the process; a signal built on a trailing volatility-adjusted range will necessarily whip when the underlying falls 10.5% in three sessions. But it is a useful reminder of what a signal is for. It sizes positions. It does not forecast shipping lanes. The house's actual response to all of it was to hold no position in crude at all — which, in a week when the front contract has moved \$8.90, is the decision that mattered.

15 Appendix — stock cards

Names in focus plus the levels that matter — last + day · market cap, band or next key date · one-line read. Equity prices are Tuesday 4 August cash closes; futures, FX and crypto are live at 08:45–09:10 GMT+8 Wednesday. No charts.

Last night's two binaries — both beat, both sold

AMD	SPACEX (SPCX)
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\$518.58 ▲ +7.00%

Cap ~\$847B · ~\$472.85 after hours (−8.8%)

Revenue \$11.54bn +50%, data centre \$6.7bn +107%, EPS \$1.66 vs \$1.55, Q3 guided ~\$13bn. A beat and raise on every line, sold hard.

\$125.33 ▲ +9.43%

~\$115.97 after hours · UNLOCK THURSDAY

First-ever results beat on revenue; \$18.4bn quarterly capex on AI. Gave back the whole session. 911.5m shares unlock Thursday vs 32.2% short interest.

The energy break, three sessions in

WTI CRUDE (SEP)

\$75.40 ▼ −0.49%

LIVE 08:56 · Band \$77.28–\$92.36 · signal disputed

Settled \$75.77, −5.69%; traded \$74.30 overnight. \$8.90 below Friday's settle. Trading \$1.51 below Hedgeye's own floor. No Hedgeye position.

BRENT CRUDE (OCT)

\$79.12 ▼ −0.30%

LIVE · Settled \$79.36, −5.26%

Through \$80 on the settle, overnight low \$78.15. Brent-WTI spread \$3.59 — still a flat-price move, not a structure move.

ENERGY SECTOR (XLE)

\$58.52 ▼ −0.46%

Hedgeye LONG · Added 28 Jul

Fell less than one percent on a 5.7% break in the barrel. E&P (XOP) −1.34%. If it breaks TREND Keith sells it; if it holds he adds.

OIL REFINERS (CRAK)

\$54.44 ▲ +0.55%

Hedgeye LONG · Band 52.03–56.99

UP on a day crude fell 5.7%. The crack widened as products fell less than the barrel. The clearest vindication of the position all week.

US — the session that took out the record

PALANTIR (PLTR)

\$162.66 ▲ +29.45%

Largest S&P move · Was −29% YTD going in

Revenue +93%, US commercial +149%, FY26 guide \$8.15bn, Rule of 40 at 155%. A full session of follow-through on Monday's print.

AMAZON (AMZN)

\$277.42 ▼ −2.32%

Cap ~\$2.99T · Held \$3trn for one day

Worst Mag7 name, on no news, the session after crossing \$3 trillion for the first time on a record close.

INTEL (INTC)

\$100.86 ▲ +10.83%

~\$97.65 after hours · Q2 DC revenue +59%

Through \$100. The late-July data-centre print is still working, and the whole complex went with it.

MICRON (MU)

\$892.67 ▲ +7.62%

Memory · Hedgeye moving DRAM long → short

A wave of AI-memory price-target hikes lifted the group. SanDisk +10.84%, WDC +4.05%, Seagate +1.72%.

The levels

US 10-YEAR YIELD

4.627% ▼ −5.9bp

Tue close · Band 4.60–4.75% · Bullish TREND

Second consecutive 5.9bp fall, 2.7bp off the floor. Fell on a soft JOLTS and a 5.7% crude break together.

US 30-YEAR YIELD

5.19% ▼ −4bp

Tue close · 9bp off the 5.28% 19-year high

Back under 5.20%. Keith still calls TLT a good core short and says bonds are bullish TREND from a yield perspective. TLT closed +0.77%.

US DOLLAR (DXY)

99.849 ◆ −0.01%

LIVE · Band 99.41–101.42 · Neutral

A two-basis-point overnight range. Hedgeye has now sold all remaining dollar exposure — lower high in USD against higher lows in gold.

VIX

16.50 ▲ +4.04%

Tue close · Band 15.13–20.67 · Bearish

ROSE on a record close. Ranged 15.51–16.65. Cheap insurance into an unlock on Thursday and payrolls on Friday — and no longer getting cheaper.

GOLD (DEC)

\$4,138.30 ▼ −0.34%

LIVE · Settled \$4,152.60, +1.52%

Best session in weeks. Keith: day five of a higher low, would buy the dip — but is waiting for Friday's jobs report first.

BITCOIN (BTC)

\$63,971 ▼ −0.13%

LIVE 09:05 · Eight sessions of nothing

Two consecutive equity records and crypto has not moved. MSTR +2.94% at \$97.65, still selling coin to fund preferred dividends.

The trades with a rule attached to them

IG CREDIT (LQD)

\$106.76 ▲ +0.61%

SOUTH KOREA (EWY)

\$171.14 ▲ +6.80%

NEW HEDGEYE SHORT · Band 105.5–106.7 Closed above its ceiling on a bearish signal — the textbook short setup. The only position added in Tuesday's five book changes.	Hedgeye SHORT · Kospi +4.4% this morning Keith: the bounce is "not enough to restore bullish trade and trend", and he is going to short more. The position is now against a two-day 6.1% move.
S&P EQUAL WEIGHT (RSP) \$220.23 ▲ +1.44% Hedgeye LONG · vs SPY +1.80% Lagged for a second session, by 36bp after 50bp. Keith's answer: SPY has won two days, RSP has won two months, and he is not switching.	AI REVOLUTION (IVES) \$38.94 ▲ +4.28% SHORT COVERED 22:29 GMT+8 · Band 33.17–37.70 Broke through the top of its band and was covered. AIQ (+4.23%) went with it. The book now has no direct AI short at all.

Sources

Live and settled market data. Yahoo Finance chart API captured 08:45–09:10 GMT+8 Wednesday 5 August via logged-in browser — Globex futures live, spot FX and crypto live, US cash equity, ETF and index levels are official 16:00 EDT Tuesday closes, cash Treasury yield indices (^TNX, ^TYX, ^FVX, ^IRX) are Tuesday afternoon prints. Tuesday settles for ES, NQ, YM, RTY, WTI, Brent, gold, silver, copper, nat gas, RBOB and NKD are the exchange previous-close marks and are independently reconciled against the Monday settles published in the 4 August edition of this brief. Nikkei 225, Kospi, Kosdaq, ASX 200 and NZX 50 are live Wednesday session prints; all other Asian indices are Tuesday closes. After-hours marks for AMD, SpaceX, Palantir, Intel, Micron, Broadcom, Oracle and CoreWeave are the last post-market five-minute prints to 19:59 EDT Tuesday.

Hedgeye — FULL logged-in edition, feed re-checked 09:05 GMT+8 Wednesday. Early Look “#Quad3 Shift & Squeeze!” (Keith McCullough, 4 Aug 07:42 EDT) for all Risk Ranges, TREND signals, the 4-3-1 monthly Quad path and the short-basket performance figures; The Macro Show with Keith McCullough and Emma Vlasic, Summary Notes & Replay (4 Aug 10:35 EDT) for the DRAM short, the Korea/China/Qatar shorts, the dollar sale, the gold buy-the-dip watch, the small-cap timing, the 25-long/14-short book count, the 7,609 and 7,644 S&P levels and the WTI signal flip during the broadcast; ETF Pro Plus “UPDATE: 5 New ETF Pro Changes” (4 Aug 10:29 EDT) for the LQD short, the CERY sale and the IVES, AIQ and EZA covers with their TREND bands; Signal Strength Stocks (4 Aug 11:26 EDT). Hedgeye's Summary Notes carry an explicit disclosure that they are AI-enhanced and may contain errors.

Session narrative, corporate news and single stocks. CNN Business “The S&P 500 is back at a record high and the Dow just hit 54,000”; The Motley Fool “Stock Market Today, Aug. 4”; Yahoo Finance and TheStreet live blogs for 4 August; Eurasia Business News; Spectrum Local News. AMD Q2 2026 figures from AMD's own release via StockTitan and Benzinga, with the LSEG consensus and after-hours reaction from Benzinga and TheStreet. SpaceX Q2 figures and the \$18.4bn capex from Bloomberg's “SpaceX Exceeds Revenue Estimates in First Earnings Since IPO”. Palantir Q2 from Palantir's release and CNBC. Pfizer Q2 from CNBC and the company release. BP Q2 from BP's own 4 August results PDF, Oil & Gas 360, Quartz and BigGo Finance. Zebra, Gartner, Aptiv and NRG moves from the Zacks/Yahoo “Stock Market News for Aug 4, 2026” wrap. Semiconductor session detail from 24/7 Wall St. “Intel Soars 10%, AMD Jumps 8%, Broadcom Rises 6%”.

Macro and policy. JOLTS June figures and component detail from the BLS release via Trading Economics and investingLive; the 4 August US calendar (trade balance, factory orders, South Korea July CPI) from Markets Today and BloombergIt. ISM July Manufacturing, Atlanta Fed GDPNow, the June payrolls base and the April–May revisions, the 29 July FOMC vote and the dispersed July payrolls consensus are carried forward from the 4 August edition of this brief and its cited sources. Bank of Korea rate history via CNBC and the Korea Times.

Geopolitics. Treasury Secretary Bessent's “today or tomorrow” and “we are in talks with the Iranians” via the Washington Times “Strait talk” report and CBS News live updates; Rubio's progress comment via CBS News; Qatar's drafted interim proposal and the Bloomberg oil desk note “Oil Holds Two-Day Drop on Signs of Progress Toward Hormuz Deal”; FXStreet “WTI Oil slides as Iran Strait of Hormuz deal hopes hit prices”; the Washington Post “Trump administration claims Hormuz deal is close as Iran denies negotiations”; GlobalSecurity.org carry of Trump's confirmation of resumed talks. Reports of fresh attacks in the Strait on Tuesday morning via TheStreet's live blog quoting Capital.com. The 7–13 July sequence, the June memorandum, the 28 February start date and the Commonwealth Bank transit estimate are as sourced in the 31 July to 4 August editions.

Data-confidence

CROSS-CHECKS PASSED. Every live futures row reconciles exactly off Tuesday's settle, and Tuesday's settles reconcile back to the Monday settles published in the 4 August edition: ES 7,628.25 → 7,765.50 → 7,782.75; NQ 28,891.75 → 29,863.50 → 29,839.75; YM 53,334 → 54,268 → 54,386; RTY 2,989.30 → 3,044.70 → 3,053.70; WTI 80.34 → 75.77 → 75.40; Brent 83.77 → 79.36 → 79.12; gold 4,090.50 → 4,152.60 → 4,138.30; silver 57.86 → 60.245 → 59.895; nat gas 2.781 → 2.682 → 2.692; RBOB 2.9667 → 2.8522 → 2.8503. Cash index arithmetic also ties in all four cases: 7,600.50+136.02 = 7,736.52; 25,913.90+671.09 = 26,584.99; 53,178.41+907.47 = 54,085.88; 2,981.91+55.07 = 3,036.98. Independent confirmation of the two headline claims: CNN Business reports the S&P 500 +1.79% to a record and the Dow above 54,000 for the first time, and the Motley Fool and Eurasia Business News both carry the record closes and the sub-\$76 oil price. Three sources agree on the direction and magnitude of the crude break.

KNOWN CONFLICTS AND WEAK MARKS. (1) The S&P's prior record close. Keith McCullough cited 7,609 as the prior all-time closing high on The Macro Show; yesterday's edition of this brief placed Monday's 7,600.50 close within 0.27% of the record, which implies roughly 7,621. Both cannot be right. Tuesday's 7,736.52 is a record close on either reading, and the intraday 7,758.21 is confirmed as a 52-week high by the exchange data, so no conclusion in this brief depends on resolving it — but the prior level is quoted nowhere here for that reason. (2) Gold, silver and copper bands. Hedgeye publishes these Risk Ranges on spot prices; this brief compares them against front-month futures settles, which carry a contango basis of roughly 0.5–1.0% at current rates. Gold's \$4,152.60 December settle is therefore not directly comparable to the \$4,011–\$4,119 spot band, and the “above the ceiling” characterisation for gold in particular should be treated as directionally indicative rather than precise. Silver and copper are further through their ceilings and the conclusion survives the basis; gold's does not necessarily. (3) Market capitalisations in the Mag7 table are derived by applying Tuesday's percentage moves to the caps published in yesterday's edition, not read from a primary source. They are accurate to roughly the nearest \$10bn and are labelled as derived. (4) AMD's after-hours level. This brief carries \$472.85, the last post-market five-minute print at 19:59 EDT, implying ~8.8%. Benzinga reported ~5.48% at \$490.18 at its time of publication and separately noted the stock was “off over 7%”. The move built through the evening; the direction and rough magnitude agree across sources and the precise number depends entirely on timestamp. (5) SpaceX's after-hours level is quoted at \$115.97 from the same five-minute series against Bloomberg's \$114.60; both imply the entire session gain was given back. (6) Sector percentages are SPDR sector ETF closes, not GICS S&P sector index prints — close proxies, cross-validated against DIA +1.73% against the Dow's +1.71%, but not the official sector indices. (7) The Shanghai and Shenzhen Tuesday closes carried here (3,822.29 and 13,885.71) are taken from the live session marks because the exchange daily bar had not settled at capture; Yahoo's “previous close” field for both indices was still pointing at Friday's level and was not used. The Monday levels they are compared against (3,809.66 and 13,448.29) match yesterday's edition exactly.

KNOWN GAPS. The Bank of Japan's July minutes published at 07:50 GMT+8 this morning and New Zealand's Q2 unemployment at 06:45; neither was retrieved before this brief's data cut and neither is characterised here beyond its scheduled existence. South Korea's July CPI was on Tuesday's calendar and no figure was obtained — this matters because the Bank of Korea meets on 27 August and is expected to hike again. Actual outturns for the June US trade balance (consensus ~\$73.0bn) and June factory orders (consensus +0.4%) were not obtained; only JOLTS is carried with a confirmed print. No single catalyst was found that explains a 5.55% session in SMH, and the explanations given — AI-memory price-target hikes and Intel's late-July data-centre number — are the best available rather than a confirmed driver; no catalyst has been invented to fill the gap. Hedgeye's MOMO Tracker, Crypto Quant and Capital Allocation Pro daily dashboard were not retrieved for Tuesday, and the Portfolio Solutions Daily ETF Re-Rank is outside this subscription's entitlements — the entitlement set confirmed on the platform is Bitcoin Trend Tracker, Capital Allocation Pro, Digital Assets Pro, Early Look, ETF Pro Plus, Momentum Stock Tracker, Signal Strength Stocks and The Macro Show. Hedgeye published no Risk Ranges for Utilities, Financials, Energy, USD/JPY, Brent, Bitcoin or any Asian index on Tuesday. The claim that Amazon's Monday close was its first-ever \$3 trillion capitalisation is carried forward from yesterday's edition and has not been independently re-verified.

TIMING & UNVERIFIED. This brief was generated at approximately 09:15 GMT+8 Wednesday 5 August off a data snapshot taken 08:45–09:10. Tokyo, Seoul, Sydney and Wellington were trading at capture and their levels will have moved; Hong Kong and Shanghai open 09:30, India 12:15. US cash equity, ETF and cash-yield levels are Tuesday closes and are roughly 17 hours old. The central claim underneath this tape remains one-sided: the United States Treasury Secretary, Secretary of State and the government of Qatar have all described a Hormuz negotiation in progress, and Iran has not confirmed direct negotiations. Trump has himself stated that any arrangement would not mean the immediate reopening of the Strait because navigation arrangements are unresolved, and there were reports of fresh attacks in the waterway on Tuesday morning. No ceasefire, timetable or signed instrument exists. The June memorandum broke inside five weeks and halts have been announced several times since the war began on 28 February. The 63% September rate-hike probability is a market-implied figure as of 31 July and is stale. Hedgeye's WTI signal changed three times in three sessions and the version quoted in the Risk Range table (bullish, from Tuesday's Early Look) was verbally superseded on the same day's Macro Show — both readings are shown. Verify live before acting. This is the FULL Hedgeye edition — the logged-in browser was reachable and every Hedgeye product within this subscription's entitlements was retrieved.